

raising external financing, while for larger companies, this information provides an indication of financial strength for investors and markets. Predictions may range from conjectured costs and revenue to complex financial models. One of the most frequently used predictive models for forecasting business success is the Z-score model, devised by Edward Altman, a New York University finance professor, in 1968.



NEED TO KNOW

› Ohlson O score

Alternative to Z score for predicting failure

› **Overtrading** When a company's sales grow faster than its finance

› **Undertrading** When a company trades at low levels compared to its finance levels

› **Zeta analysis** Second-generation Z-score model

Signs of corporate failure

There are many signs that a company is doing badly and perhaps sliding into insolvency. These signs make investors nervous, which is likely to lower share price if they start selling their shareholding. However, most companies that fail are in profit, but run out of cash.

20%
the predicted profitability increase from 2013 to 2017 for organizations using performance measurement to make business forecasts



✗ **Selling assets** to pay off debts

✗ **Cuts** to employee benefits

✗ **Repeated dividend cuts** to shareholders

✗ **Top management** resigning and taking jobs elsewhere

Bankruptcy occurs if the company cannot pay its debts

✗ **High borrowing**, high interest payments, and dwindling revenue

✗ **Low profitability**, seen in consistent downside in profit and loss statements from consecutive years

✗ **Low cash flow**, seen in continued pattern of decline in cash holdings on balance sheet over consecutive years